WARRANTY ATLAS · Delaware (DE)

Law last amended: 2024 (eff. 2024-08-29) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-26

Cites: 6 Del. C. § 4903; 6 Del. C. § 4916 (civil actions); 6 Del. C. §§ 4918, 4920 (limitations, association standing)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 4903(b); see (a)(1)c.
Mfr-backed service contract	**Required**	Factory time (reasonable/adequate standard where stated)	§ 4903(b)
CPO warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 4903(a)(1)a.
Independent service contract	**Not addressed**	-	§ 4903(a)(1)a.

Hourly rate: Not less than the dealer's rate to nonwarranty customers for like services. Declared from 100 sequential customer-paid ROs or 90 days of customer-paid ROs (whichever less), covering like repairs ≤180 days old. No arithmetic formula in the text. Presumed fair; effective within 30 days (clock restarts after reasonably requested information); ≤1 change per 9 months; Public Service Commission protest with burden on the manufacturer.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Disapproval must be specific and in writing. No denial or reduction if the dealer documents a good-faith attempt to follow the manufacturer's reasonable written policies and that the work was actually performed. No denial or chargeback for a dealer administra…	§ 4903(d)(1); see (a)(1)d., (d)(2)-(3)
Payment	30 days after approval. Dealer filing deadline: The manufacturer must allow at least 180 days for claim submission..	
Chargebacks	6 months; fraud: The 180-day limit does not apply to fraudulent claims.. The window is 180 days after payment (shortened from 1 year in 2024). Chargebacks are allowed only for fraud, unnecessary work, or work not properly performed. No chargeback for administrative error, and documentation-procedure chargebacks are limited as abov…	§ 4903(d)(1)-(2)
Rate resubmission	not more than once every 9 months. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Fleet, Insurance-paid, Service-contract paid, Government, Tires, Routine maintenance, Alignments, Engine / transmission assembly, Prep / reconditioning, Other (see text).	§ 4903(b)(1); see (b)(2)
Mfr response	30 days; no response = approved: Yes. Challenge: The declared schedule is presumed fair and reasonable. In a protest, the manufacturer must prove 'the dealer's submission did not meet the respective submission requirements'. This is a compliance-only test with no market comparison. Forum: Public Service Commission protest within 30 days of the denial notice….	§ 4903(b)(1); see (b)(4)
Penalties	Action for damages equal to actual pecuniary loss, plus equitable or injunctive relief, costs and reasonable attorney's fees; the burden shifts after a prima facie showing. Punitive damages for willful or wanton or continued multiple violations, and the court may assess monetary penalties against the manufacturer (§ 4916). Dealer assoc…	6 Del. C. §§ 4916, 4918, 4920, 4903(b)(4)
Audit procedures	Audit climate score 41/100 (High restrictiveness; chargeback limits 41/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 4903(d)(1); see (a)(1)d., (d)(2)-(3)): "any claim not specifically disapproved in writing within 30 days after the receipt shall be construed to be approved and payment must follow within 30 days."*
Chargebacks *(§ 4903(d)(1)-(2)): "the manufacturer retains the right to audit such claims and to charge back the dealer for claims due to fraud, work done unnecessarily, or work not properly performed for a period of 180 days following payment."*
Rate *(§ 4903(b)(1); see (b)(2)): "established by the dealer submitting to the manufacturer 100 sequential customer paid service repair orders or 90 days of customer paid service repair orders, whichever is less, covering like repairs made no more than 180 days before the submission"*
Factory time *(§ 4903(b); see (a)(1)c.): "Time allowances for the diagnosis and performance of warranty work and service shall be reasonable and adequate for the work to be performed."*

Notes

Since 2024, § 4903 covers predelivery, manufacturer-sponsored maintenance programs, manufacturer extended warranties, CPO warranties, manufacturer-issued service contracts, parts exchange, recall and warranty work ((a)(1)a., (b)). The statute gives no arithmetic formula for the rate. (d)(2) contains a typo ('shall not be effect'). Incentive audits are limited to 180 days after the program ends ((e)). Used-vehicle recall compensation is 1.5%/month of average Black Book value ((g)). No cost recovery through surcharges ((a)(2)).

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